
SiyaBusa ERP

INVESTOR & PARTNER DOCUMENTATION

SAFE AGREEMENT TEMPLATE

VERSION 2.0 | APRIL 2026

COMPANY

Masaphokati Technologies (Pty) Ltd

CLASSIFICATION

Confidential

WE RULE. WE GOVERN. WE EMPOWER.

□ **LEGAL AGREEMENT TEMPLATE** — The legal agreement template for the SAFE investment, outlining the terms and conditions for early-stage investors.

THIS INSTRUMENT AND THE SECURITIES ISSUABLE UPON CONVERSION HEREOF HAVE NOT BEEN REGISTERED UNDER ANY SECURITIES LEGISLATION AND MAY NOT BE OFFERED, SOLD, OR OTHERWISE TRANSFERRED EXCEPT IN COMPLIANCE WITH APPLICABLE SECURITIES LAWS.

SAFE AGREEMENT (SIMPLE AGREEMENT FOR FUTURE EQUITY)

This SAFE (this "Agreement") is entered into as of [DATE] (the "Effective Date")

BY AND BETWEEN:

1. THE COMPANY:

Name: **Masaphokati Technologies (Pty) Ltd** (Registration No: [_____])

Address: [_____]

Represented by: **Sibusiso Mavuso** (Founder/Director)
(hereinafter referred to as the "Company")

2. THE INVESTOR:

Name: [_____]

ID/Registration Number: [_____]

Address: [_____]

Email: [_____]

(hereinafter referred to as the "Investor")

(The Company and the Investor are hereinafter collectively referred to as the "Parties")

RECITALS

WHEREAS:

A. The Company is a South African private company engaged in the business of developing and commercializing enterprise resource planning (ERP) software under the brand name "SiyaBusa ERP";

B. The Investor desires to provide funding to the Company in exchange for the right to receive equity securities of the Company upon the occurrence of certain events, subject to the terms and conditions set forth herein;

C. The Parties wish to record the terms and conditions governing this investment.

NOW THEREFORE, in consideration of the mutual promises and covenants contained herein, and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the Parties agree as follows:

1. DEFINITIONS

In this Agreement, unless the context indicates otherwise:

Term	Definition
"Capital Stock"	The ordinary shares of the Company, and includes any future class of shares
"Conversion Event"	Either: (a) an Equity Financing; (b) a Liquidity Event; or (c) a Dissolution Event
"Conversion Price"	Either: (a) the Safe Price; or (b) the Discount Price, whichever results in a greater number of shares for the Investor
"Discount Price"	The price per share equal to the Equity Financing Price multiplied by the Discount Rate
"Discount Rate"	80% (representing a 20% discount)
"Equity Financing"	A bona fide transaction raising capital, resulting in aggregate gross proceeds of at least R5,000,000 (Five Million Rand)
"Investment Amount"	R[] ([] Rand)
"Liquidity Event"	(a) a Change of Control; or (b) an Initial Public Offering (IPO)
"Safe Price"	The price per share equal to the Valuation Cap divided by the Company Capitalization
"Valuation Cap"	R15,000,000 (Fifteen Million Rand)

2. INVESTMENT

2.1 Investment Amount

The Investor agrees to invest the Investment Amount in the Company, and the Company agrees to accept such investment, subject to the terms of this Agreement.

2.2 Payment

The Investment Amount shall be paid by the Investor to the Company within ten (10) business days of the Effective Date, by electronic funds transfer to:

Field	Detail
Bank	[]
Account Name	Masaphokati Technologies (Pty) Ltd
Account Number	[]

Field	Detail
Branch Code	[_____]
Reference	SAFE-[Investor Name]-2026

2.3 Use of Funds

The Company shall use the Investment Amount substantially in accordance with the budget presented to the Investor, which includes:

- Infrastructure and operations (Vultr VPS, tooling)
- Marketing and customer acquisition
- Team and operations (initial hires)
- Reserve and contingency

3. CONVERSION

3.1 Equity Financing Conversion

Upon the closing of an Equity Financing:

- (a) This Agreement shall automatically convert into shares of the same class issued in the Equity Financing;
- (b) The number of shares issued shall equal the Investment Amount divided by the Conversion Price;
- (c) The Investor shall execute any documents required to effect such conversion.

3.2 Liquidity Event Conversion

Upon a Liquidity Event:

- (a) If the Liquidity Event occurs before an Equity Financing, the Investor shall receive, at the Investor's election:
 - (i) Cash payment equal to the Investment Amount; OR
 - (ii) A number of shares of Capital Stock equal to the Investment Amount divided by the Safe Price, immediately prior to the Liquidity Event.
- (b) If the Investor elects shares, such shares shall be issued immediately prior to the Liquidity Event and shall participate in the proceeds of the Liquidity Event.

3.3 Dissolution Event

Upon a Dissolution Event:

- (a) The Company shall pay the Investor an amount equal to the Investment Amount from the Company's remaining assets;
- (b) Such payment shall be made before any distribution to ordinary shareholders but after payment of the Company's debts and obligations;
- (c) If the Company's assets are insufficient, payment shall be made pro rata among SAFE holders and other creditors of similar priority.

Conversion Mechanics Summary

Example: Investor invests R500,000. SAFE converts at Series A (equity financing >R5M).

Safe Price = R15,000,000 ÷ Company Capitalization

Discount Price = Series A price × 80%

Investor gets **more shares** of whichever price is lower (better for investor).

At R10M pre-money, 120M shares: Safe Price = R15M ÷ 120M = **R0.125/share**

Investor receives: R500,000 ÷ R0.125 = **4,000,000 shares**

4. INVESTOR RIGHTS

4.1 Information Rights

The Company shall provide the Investor with:

- (a) Monthly management accounts within fifteen (15) days of each month end;
- (b) Annual audited financial statements within ninety (90) days of the financial year end;
- (c) Notice of any material developments affecting the business within seven (7) days of such occurrence.

4.2 Pro Rata Rights

The Investor shall have the right, but not the obligation, to participate in subsequent Equity Financings on a pro rata basis to maintain the Investor's percentage ownership of the Company.

4.3 Board Observer Rights

The Investor shall have the right to appoint one (1) observer to attend meetings of the Company's board of directors in a non-voting capacity, subject to reasonable confidentiality requirements.

4.4 Most Favored Nation

If the Company issues any other SAFE with terms more favorable to that investor, the Company shall promptly notify the Investor and provide the option to amend this Agreement to include such more favorable terms.

5. REPRESENTATIONS AND WARRANTIES

5.1 Company's Representations

The Company represents and warrants that:

1. It is duly incorporated under South African law;
2. It has the power and authority to enter into this Agreement;
3. The execution of this Agreement does not violate any other agreement;
4. There are no pending legal proceedings materially affecting the Company;
5. All intellectual property used in the business is owned by or licensed to the Company.

5.2 Investor's Representations

The Investor represents and warrants that:

1. The Investor has the legal capacity to enter into this Agreement;
2. The Investor is investing for their own account, not for resale;
3. The Investor has received and reviewed information about the Company;
4. The Investor understands the speculative nature of the investment;

5. The Investor has complied with all applicable FICA requirements.

6. GENERAL PROVISIONS

6.1 Governing Law

This Agreement shall be governed by and construed in accordance with the laws of the Republic of South Africa.

6.2 Dispute Resolution

Any dispute arising from this Agreement shall be referred to arbitration in terms of the Arbitration Act 42 of 1965, as amended, before a single arbitrator agreed upon by both Parties.

6.3 Confidentiality

Each Party shall keep the terms of this Agreement and all related information confidential, except as required by law or with prior written consent of the other Party.

6.4 Entire Agreement

This Agreement constitutes the entire agreement between the Parties with respect to the subject matter hereof and supersedes all prior discussions and representations.

6.5 Amendment

This Agreement may only be amended by written agreement signed by both Parties.

SIGNATURES

The Parties have entered into this Agreement as of the Effective Date.

FOR THE COMPANY: Masaphokati Technologies (Pty) Ltd Name: Sibusiso Mavuso Title: Founder & Director _____ Signature & Date	FOR THE INVESTOR: Name: _____ ID/Reg No: _____ Investment Amount: R _____ _____ Signature & Date
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Key Terms Summary: Valuation Cap R15,000,000 | 20% Discount | Equity Financing Trigger R5,000,000 | Pro-Rata Rights: Yes | Board Observer: Yes

